# THE BURTON INN LEASE

**Two-Tier Value-Sharing Lease© — 24007 Vashon Highway SW, Vashon (Burton), Washington 98070**

**Draft v0.13 — November 11, 2026 — Option to Purchase terms left open for negotiation**

*Section 1/3, including its Exhibits, incorporates Sections 2/3 and 3/3 (Version 2.1, September 19, 2026), which are attached and apply unchanged. Section 1/3 governs Sections 2/3 and 3/3 if any conflict arises. Capitalized terms have the meanings assigned in Section 3/3 unless specifically defined here.*

**THE DEAL IN BRIEF** *(a summary only; the Articles and Exhibits below control)*

- **What is leased:** the whole Burton Inn building and grounds, to a single tenant.
- **How long:** through December 31, 2031, with one option to extend five more years, to December 31, 2036.
- **Tier One (property costs):** Tenant pays the property's taxes, insurance, and routine upkeep at actual cost (about $19,500 a year today), and all utilities directly. Landlord's costs of owning the building are covered.
- **Tier Two (Landlord's return):** Landlord receives ten percent (10%) of the inn's gross revenue, with a guaranteed minimum of $1,650 a month starting January 1, 2028. Landlord's return rises and falls with the business.
- **Option to buy:** Tenant has an option to buy the property during the Lease. The price and purchase terms are to be agreed (Exhibit I).
- **Improvements:** Tenant funds about $98,000 of fit-out, which stays with the building. Landlord installs fire suppression and HVAC (about $50,000).

## SECTION 1/3 — TENANT SPECIFIC TERMS & EXHIBITS

### ARTICLE 1 | PARTIES

**1.01 Landlord.** The Burton Landing LLC, a Washington limited liability company.

**1.02 Tenant.** eBerry LLC, a Washington limited liability company, 9405 SW Gorsuch Road, Vashon, Washington 98070.

**1.03 Guarantor.** Intentionally omitted.

**1.04 Brokers.** None. Each party's representation and indemnity are set forth in Section 2/3 Article 17.03.

**1.05 Good Faith Deposit.** Intentionally omitted. (The $70,000 rent advance is addressed in Article 4.09.)

## ARTICLE 2 | PREMISES

**2.01 Building.** The Burton Inn, 24007 Vashon Highway SW, Vashon (Burton), Washington 98070, on the land described in Exhibit A, as shown on the site plan in Exhibit B.

**2.02 Tenant Premises.** The entire Building, together with the land, parking, and grounds, leased to a single tenant.

**2.03 Tenant Proportionate Share.** 100% (whole Building). Exhibit C is not used.

**2.04 Common Areas and Parking.** None. All parking, grounds, and outdoor areas are part of the Premises and are under Tenant's control (see Exhibit H, Section 1). Alley access is addressed in Exhibit J.

**2.05 Delivery Condition.** As-Is under Section 2/3 Article 2.03, on the Lease Start Date, except for Landlord's Work described in Exhibit E.

**2.06 Tenant Improvements.** Tenant will fund and perform a fit-out of about Ninety-Eight Thousand Dollars ($98,000): flooring; interior paint and exterior touch-up; a commercial kitchen retrofit with all required permits; and guest-room, bar, and dining furnishings. Phase 1 is the guest rooms, related public areas, and life-safety items; Phase 2 (about three months later) is the kitchen, bar, and event spaces. This work is approved by Landlord under Section 2/3 Article 4.04. The amounts are estimates; the obligation is to complete the work lien-free, not to spend a particular amount. Work attached to the Building stays with the Building at the end of the Term under Section 2/3 Article 4.06; Tenant's Trade Fixtures, equipment, and inventory remain Tenant's property.

## ARTICLE 3 | TERM

**3.01 Lease Start Date.** The date both parties have signed this Lease. Landlord delivers possession on that date.

**3.02 Rent Commencement Date.** The Lease Start Date. Base Rent Tier Two (the percentage of Gross Revenue) accrues from that date; the monthly minimum begins January 1, 2028 (Article 4.03).

**3.03 Base Rent Tier One Commencement Date.** The first day of the month after the Lease Start Date.

**3.04 Initial Term.** From the Lease Start Date through the Lease Expiration Date.

**3.05 Lease Expiration Date.** December 31, 2031 (the end of Lease Year 5), unless extended under Article 3.06 or sooner terminated under the Lease.

**3.06 Extension Option.** Tenant may extend the Term once, for five (5) years through December 31, 2036 (Lease Years 6 through 10), by written notice to Landlord at least nine (9) months before the Lease Expiration Date, if no Event of Default exists when notice is given or when the extension begins. All terms stay the same during the extension, including the $1,650 monthly minimum and the ten percent (10%) rate.

**3.07 Lease Years.** Lease Year 1 runs from the Lease Start Date through December 31, 2027. Each later Lease Year is a calendar year (January 1 through December 31). Lease Years are fixed and do not move if opening is delayed.

## ARTICLE 4 | RENT AND FINANCIAL OBLIGATIONS

**4.01 Lease Type.** Two-Tier Value-Sharing Lease, Triple Net (NNN). Base Rent Tier One covers the property's operating costs (Article 4.02). Base Rent Tier Two is the Landlord Investment, paid as a share of Gross Revenue with a monthly minimum (Article 4.03). Together they constitute Base Rent; every other amount payable by Tenant is Additional Rent.

**4.02 Base Rent Tier One (Operational Costs).** Tenant pays, at actual cost and without markup or management fee, the property taxes and assessments on the Premises, Landlord's building insurance premiums, and routine maintenance and upkeep, as set out in Exhibit H, Section 2. There is no Escrow Account. Current estimate: about $19,500 per year (about $1,625 per month), per the Annual Budget attached as Exhibit D. Tenant's audit rights are set forth in Section 2/3 Article 1.07.

**4.03 Base Rent Tier Two (Landlord Investment).** For each Lease Year, Landlord receives the greater of (a) the Minimum Tier Two Rent or (b) ten percent (10%) of Gross Revenue. Mechanics, the definition of Gross Revenue, and reporting are in Exhibit H, Sections 3 through 5.

- Lease Year 1 (Lease Start Date through December 31, 2027): no minimum; ten percent (10%) of Gross Revenue.
- Lease Years 2 through 10 (January 1, 2028 onward): Minimum Tier Two Rent of $1,650.00 per month ($19,800 per year), plus any amount by which ten percent (10%) of Gross Revenue for the Lease Year exceeds the minimum.
- Examples for a full Lease Year: Gross Revenue of $150,000 means Tier Two of $19,800 (the minimum); $270,000 means $27,000; $450,000 means $45,000.

*Escalation: None. The minimum and the ten percent (10%) rate are fixed for the Term, including any extension; Landlord's return grows as the business grows.*

**4.04 Rent Payment.** The Minimum Tier Two Rent is paid monthly under Section 2/3 Article 1.01. The percentage portion of Tier Two is paid quarterly, by the last day of the month after each calendar quarter (April 30, July 31, October 31, and January 31), with a year-end true-up, as set out in Exhibit H, Section 3. Tier One items are paid as billed under Exhibit H, Section 2. Partial months are prorated by days.

**4.05 Security Deposit.** None ($0).

**4.06 Late Charges and Interest.** Under Section 2/3 Article 1.02: a late charge of five percent (5%) or Fifty Dollars ($50.00), whichever is greater, on any Rent not received within five (5) days after it is due, and interest at twelve percent (12%) per annum on any Rent more than thirty (30) days past due.

**4.07 Utilities and Services.** Tenant puts all utilities in its own name and pays them directly under Section 2/3 Article 5.01, including electricity, propane or natural gas, water, trash and recycling, telephone, and internet. Section 2/3 Article 5.02 does not apply. The shared septic system is addressed in Exhibit J.

**4.08 NNN Variation.** Elected. Under Section 2/3 Article 1.05, Exhibit H, Sections 1 and 2 modify Section 2/3 Article 1 as stated there.

**4.09 Rent Advance.** Tenant paid Landlord $70,000 as a rent advance under the Side Agreement (Article 8.01). It is credited and, where applicable, refunded as the Side Agreement provides (see Exhibit H, Section 15).

## ARTICLE 5 | USE OF PREMISES

**5.01 Permitted Use.** Lodging (up to four (4) guest rooms, or such number as King County allows); a restaurant and bar serving beer, wine, and spirits; ticketed dinners, tastings, and events; pop-up and takeaway food service; rental of the commercial kitchen to licensed food businesses; private events; and related retail — in each case only as allowed by King County zoning, the certificate of occupancy, and applicable permits. If the County requires the lodging to operate as a bed-and-breakfast accessory to an operator's residence, Tenant may designate part of the Premises as that residence, and that residential use is a Permitted Use (Exhibit H, Section 9).

**5.02 Hazardous Materials.** None beyond ordinary cleaning, maintenance, kitchen, and bar supplies customarily used in an inn and restaurant, kept and used under Section 2/3 Article 3.04.

**5.03 Insurance.** The coverages and limits in Section 2/3 Article 6.01, plus the additional coverages in Exhibit H, Section 10. Additional insureds under Section 2/3 Article 6.02. Tenant shall deliver certificates before the Lease Start Date and at each renewal.

**5.04 Signage.** Tenant may keep and refresh the existing Burton Inn signage and install new exterior signs with required permits, as modified in Exhibit H, Section 13.

**5.05 Site Rules.** Section 2/3 Article 19 applies, as modified in Exhibit H, Section 13.

**5.06 Access.** Tenant shall have access to the Premises twenty-four (24) hours a day, seven (7) days a week. Landlord's entry is governed by Section 2/3 Article 11.01, as modified in Exhibit H, Section 12.

**5.07 Zoning and Opening.** If guest rooms cannot legally reopen by June 30, 2027, Tenant may end this Lease as provided in Exhibit H, Section 9.

## ARTICLE 6 | NOTICES AND PAYMENT

**6.01 Notices.** Notices shall be in writing and delivered under Section 2/3 Article 15 to the addresses below. Either party may change its address by written notice.

**6.02 Notice to Landlord.** The Burton Landing LLC, 24007 Vashon Highway SW, Vashon, Washington 98070.

**6.03 Notice to Tenant.** eBerry LLC, 9405 SW Gorsuch Road, Vashon, Washington 98070.

**6.04 Rent Payment Address.** By ACH to the account designated by Landlord in writing, or by check payable to Landlord at the address Landlord specifies.

## ARTICLE 7 | SPECIAL PROVISIONS

**7.01 Special Provisions.** The following provisions apply in addition to, and control over, Sections 2/3 and 3/3. Each cites the Article of Section 2/3 it modifies. As set out in Exhibit H, Addendum:

- **(1) Whole Property** (modifies Section 2/3 Articles 1.03 through 1.06, 12, and 20.02).
- **(2) Triple-Net Costs — Base Rent Tier One** (modifies Section 2/3 Articles 1.03 through 1.06, 5.02, and 6.01).
- **(3) How Tier Two Is Paid** (modifies Section 2/3 Article 1.01).
- **(4) Gross Revenue** (new).

- **(5) Reports and Landlord's Audit** (new; Section 2/3 Article 1.07 continues to apply to Tier One).
- **(6) Operating** (new).
- **(7) Maintenance, Repairs, and Replacements** (modifies Section 2/3 Articles 1.03(e), 4.01, 4.02, and 4.03).
- **(8) Tenant's Fit-Out** (modifies Section 2/3 Article 4.04).
- **(9) Zoning, Permits, and Opening** (modifies Section 2/3 Article 3.01).
- **(10) Insurance** (modifies Section 2/3 Article 6.01).
- **(11) Guests, Events, and Kitchen Users** (modifies Section 2/3 Articles 8.01 through 8.03).
- **(12) Landlord's Entry** (modifies Section 2/3 Article 11.01).
- **(13) Site Rules and Signage** (modifies Section 2/3 Articles 19.04, 19.06, and 20.01).
- **(14) Casualty and Holding Over** (modifies Section 2/3 Articles 7.01, 7.02, and 13.01).
- **(15) Rent Advance** (new).
- **(16) Default Damages** (modifies Section 2/3 Article 9.04).
- **(17) Lender, Notary, and Recording** (modifies Section 2/3 Articles 10.01 and 18.09).

**7.02 Option to Purchase.** Landlord grants Tenant the Option to Purchase in Exhibit I.

**7.03 Shared Septic, Alley, and Yellow House.** As set out in Exhibit J.

## ARTICLE 8 | INCORPORATION AND EXHIBITS

**8.01 Entire Agreement.** This Section 1/3, its Exhibits, and Sections 2/3 and 3/3, Version 2.1, September 19, 2026, constitute the entire Lease and supersede all prior negotiations, letters of intent, and proposals, including the July 2026 prospectus — **except the Side Agreement dated [_____], 2026 between Landlord and Tenant (the "Side Agreement"), which remains in effect.** If this Lease and the Side Agreement conflict about the $70,000 rent advance, the Side Agreement controls; on everything else, this Lease controls. Precedence: (1) this Section 1/3 with its Exhibits; (2) Section 2/3; (3) Section 3/3. Any amendment must be in a written instrument signed by both parties.

**8.02 Exhibit A.** Legal Description.

**8.03 Exhibit B.** Site Plan of the Premises.

**8.04 Exhibit C.** Unit Allocations (Intentionally omitted — whole Building, 100%).

**8.05 Exhibit D.** Annual Budget (Base Rent Tier One estimate).

**8.06 Exhibit E.** Landlord Work Letter.

**8.07 Exhibit F.** Unconditional Guaranty of Lease (Intentionally omitted).

**8.08 Exhibit G.** Additional Site Rules (Intentionally omitted).

**8.09 Exhibit H.** Addendum (modifies the Section 2/3 Articles listed in Article 7.01).

**8.10 Exhibit I.** Option to Purchase.

**8.11 Exhibit J.** Shared Septic, Alley, and Yellow House.

## ARTICLE 9 | EXECUTION

**9.01 Execution.** By signing below, Landlord and Tenant agree to this Lease, comprising this Section 1/3 with its Exhibits and Sections 2/3 and 3/3, Version 2.1, September 19, 2026. Because the Term exceeds two (2) years, the parties will sign before a notary, and notary acknowledgments will be attached (see Exhibit H, Section 17).

**LANDLORD:** The Burton Landing LLC, a Washington limited liability company

SIGNATURE: /sn1/

PRINTED NAME / TITLE: _____

DATE: /ds1/

**TENANT:** eBerry LLC, a Washington limited liability company

SIGNATURE: /sn2/

PRINTED NAME / TITLE: _____

DATE: /ds2/

*End of Section 1/3 — Specific Lease Terms*

# EXHIBIT A: LEGAL DESCRIPTION AND KING COUNTY TAX PARCEL NUMBER

The Premises are legally described as follows (abbreviated legal description, King County records):

**S 100 FT OF N 130 FT OF W 150 FT OF E 180 FT OF GOVT LOT 2 IN NE QTR STR 19-22-03**

(That is: the south 100 feet of the north 130 feet of the west 150 feet of the east 180 feet of Government Lot 2 in the northeast quarter of Section 19, Township 22 North, Range 3 East, W.M., King County, Washington.) King County Tax Parcel No. [_____]. If the full legal description in Landlord's vesting deed differs, the vesting deed controls.

# EXHIBIT B: SITE PLAN

[Site plan of the Building, grounds, parking, and alley to be attached.]

# EXHIBIT C: UNIT ALLOCATIONS

Intentionally omitted. The Premises are the whole Building; Tenant's Proportionate Share is 100%.

## EXHIBIT D: ANNUAL BUDGET (BASE RENT TIER ONE ESTIMATE)

Tenant's good-faith estimate of the Tier One costs it will pay at actual cost under Exhibit H, Section 2. These are estimates, not caps; Tenant pays the actual bills.

- Property taxes and assessments: about $8,500 per year.
- Landlord's building insurance: about $6,500 per year.
- Routine maintenance and upkeep: about $375 per month ($4,500 per year).
- **Total: about $19,500 per year (about $1,625 per month).**

Utilities are paid directly by Tenant (Article 4.07) and are not part of this budget.

## EXHIBIT E: LANDLORD WORK LETTER

At Landlord's own cost, and not passed through to Tenant as Tier One or otherwise:

- **E.1 Fire suppression and HVAC.** Landlord installs the fire suppression system required by code for the Permitted Use and the HVAC serving the Premises (about $50,000 combined), completed in time for each phase of Tenant's opening, subject to Force Majeure and Tenant's cooperation.
- **E.2 Existing code violations.** Landlord resolves any code violation existing on the Lease Start Date, including the open violation on the sunroom, either by correcting it or by closing off the affected area.
- **E.3 Punch list.** Section 2/3 Articles 2.04 and 2.05 apply to Landlord's Work.

## EXHIBIT F: UNCONDITIONAL GUARANTY OF LEASE

Intentionally omitted.

## EXHIBIT G: ADDITIONAL SITE RULES

Intentionally omitted.

# EXHIBIT H: ADDENDUM

This Addendum is part of Section 1/3 and controls over Sections 2/3 and 3/3 where they differ.

**1. Whole Property (modifies Section 2/3 Articles 1.03 through 1.06, 12, and 20.02).** The Premises are the entire Building and grounds, leased to one tenant. There are no Common Areas and no CAM Charges. Article 12 (Relocation of Tenant) does not apply. In place of Article 20.02, Tenant controls the parking on the Premises for its employees, guests, and suppliers.

**2. Triple-Net Costs — Base Rent Tier One (modifies Section 2/3 Articles 1.03 through 1.06, 5.02, and 6.01).** Base Rent Tier One consists only of the following, paid at actual cost from the Base Rent Tier One Commencement Date: (a) property taxes and assessments on the Premises for periods within the Term; (b) Landlord's building insurance premiums (special-form property coverage at replacement cost, plus liability coverage for Landlord's ownership); and (c) routine maintenance and upkeep, which Tenant performs or contracts for directly under Section 7 of this Addendum. Landlord sends each tax and insurance bill when received; Tenant pays taxes at least thirty (30) days before they are delinquent and insurance within thirty (30) days after invoice. There is no management fee, no Escrow Account, no contingency or reserve, and no capital improvement charge. Tenant pays all utilities directly (Article 4.07).

**3. How Tier Two Is Paid (modifies Section 2/3 Article 1.01).**

- **(a) The rule.** For each Lease Year, Tier Two is the greater of the Minimum Tier Two Rent or ten percent (10%) of Gross Revenue.
- **(b) Monthly minimum.** Beginning January 1, 2028, Tenant pays the $1,650 Minimum Tier Two Rent in advance on the first day of each month. There is no minimum in Lease Year 1.
- **(c) Quarterly payments.** By the last day of the month after each calendar quarter — April 30, July 31, October 31, and January 31 — Tenant pays ten percent (10%) of Gross Revenue for the Lease Year to date, less all Tier Two already paid for that Lease Year, if the result is more than zero.
- **(d) Year-end true-up.** By March 31 after each Lease Year, Tenant delivers an annual Gross Revenue statement certified by an officer or manager of Tenant, with payment of any shortfall. Any overpayment is credited against the next Rent due, or refunded within thirty (30) days after the Lease ends.
- **(e) Partial final year.** If the Lease ends on a day other than December 31, the minimum for that final Lease Year is prorated by days.

**4. Gross Revenue (new).** "Gross Revenue" means all revenue from business conducted at or from the Premises — whether received in cash, by card, electronically, or through booking platforms, ticketing services, or other intermediaries (without deducting their fees) — including lodging, food and beverage, tickets, pop-up and takeaway sales, commissary and kitchen rental, venue and private-event fees, and merchandise. It is measured from receipts, with no expense deductions. It does not include: sales, lodging, liquor, and similar taxes collected and paid to the government; refunds, credits, and voided transactions; tips paid over to employees; insurance or condemnation proceeds; deposits until applied or forfeited; or proceeds from selling used furniture, fixtures, or

equipment.

**5. Reports and Landlord's Audit (new; Section 2/3 Article 1.07 continues to apply to Tier One).** Within twenty (20) days after each month, Tenant sends Landlord that month's Gross Revenue (a point-of-sale report is sufficient). Tenant keeps its point-of-sale and booking records for three (3) years. Once per Lease Year, on fifteen (15) days' notice, Landlord or its accountant may audit those records for the two (2) prior Lease Years. Tenant pays any shortfall found, with interest at the Section 2/3 Article 1.02 rate, within thirty (30) days; if Gross Revenue was understated by more than ten percent (10%) for a Lease Year, Tenant also pays Landlord's reasonable audit cost. Records and audit results are confidential under Section 2/3 Article 18.08.

**6. Operating (new).** Once guest rooms have reopened, Tenant will keep the business operating in the ordinary course, except for closures for fit-out, casualty, condemnation, repairs, permits, or Force Majeure, and seasonal closures of up to six (6) weeks per Lease Year in total. No minimum revenue is required; if revenue falls, Tier Two falls with it, down to the minimum.

**7. Maintenance, Repairs, and Replacements (modifies Section 2/3 Articles 1.03(e), 4.01, 4.02, and 4.03).** Tenant maintains the entire Premises — interior, exterior, grounds, parking, and building systems — in clean, safe, working condition, including routine HVAC servicing by a licensed contractor. At Landlord's own cost, not passed through to Tenant: (a) Landlord maintains and repairs the roof, foundation, and structure; (b) Landlord performs the Landlord's Work in Exhibit E; and (c) Landlord replaces the fire suppression system and the HVAC when needed, unless the replacement is caused by Tenant's misuse. Septic costs are as stated in Exhibit J.

**8. Tenant's Fit-Out (modifies Section 2/3 Article 4.04).** The Tenant Improvements described in Article 2.06 are approved. Later Alterations follow Article 4.04.

**9. Zoning, Permits, and Opening (modifies Section 2/3 Article 3.01).**

- **(a) Cooperation.** Landlord will reasonably cooperate, at no material cost to Landlord, with Tenant's zoning, permit, and license applications, including signing owner consents.
- **(b) Operator's residence.** If the County requires the lodging to operate as a bed-and-breakfast accessory to an operator's residence, Tenant may designate part of the Premises as the residence of its operator, and that residential use is a Permitted Use.
- **(c) If guest rooms cannot reopen.** If guest rooms cannot legally reopen by June 30, 2027, for reasons other than Tenant's failure to pursue its applications diligently, Tenant may end this Lease by thirty (30) days' written notice given before the guest rooms are approved. On that termination, each party is released from future obligations; Tenant pays Rent accrued to the termination date and removes its Trade Fixtures; Tenant's fit-out stays with the Building; and the rent advance is handled as the Side Agreement provides.
- **(d) Phased opening.** Delays in opening do not move the Lease Years or the start of the monthly minimum.

**10. Insurance (modifies Section 2/3 Article 6.01).** In addition to Article 6.01, Tenant carries **liquor liability insurance** of at least $1,000,000 per occurrence from the first day alcohol is served, and **business-income insurance** covering at least twelve (12) months of Rent. Landlord's building insurance is a Tier One cost under Section 2 of this Addendum.

**11. Guests, Events, and Kitchen Users (modifies Section 2/3 Articles 8.01 through 8.03).** Overnight guests, event and venue hires, ticketed dinners, visiting chefs and pop-up vendors, and short-term commissary-kitchen users are ordinary parts of the business, not assignments or subleases, and need no consent. Tenant remains responsible for them, and the revenue they generate is Gross Revenue. Article 8.02 (Recapture) does not apply. Article 8.03 (Excess Rent) applies only to a sublease of all or substantially all of the Premises.

**12. Landlord's Entry (modifies Section 2/3 Article 11.01).** Landlord will coordinate entry with Tenant's manager and will not enter an occupied guest room except in an emergency.

**13. Site Rules and Signage (modifies Section 2/3 Articles 19.04, 19.06, and 20.01).** The ordinary sounds and cooking odors of a lawfully operated inn, restaurant, bar, and event venue do not violate Article 19.04, subject to any operating standards in Exhibit J. Tenant may allow guests' pets under a written house policy, and Tenant's own animals with Landlord's consent, not unreasonably withheld. Under Article 20.01, Landlord consents to the existing Burton Inn signage and its refresh, and will not unreasonably withhold consent to new signs that have the required permits.

**14. Casualty and Holding Over (modifies Section 2/3 Articles 7.01, 7.02, and 13.01).** During any abatement under Article 7.01 or 7.02, the monthly minimum abates in the same proportion, and ten percent (10%) continues to apply to whatever Gross Revenue is earned. For Article 13.01, the monthly Base Rent Tier Two "in effect" is the greater of the monthly minimum or one-twelfth of the Tier Two paid for the twelve (12) months before expiration.

**15. Rent Advance (new).** Tenant paid Landlord $70,000 as a rent advance under the Side Agreement. It is credited against Rent, and the stated portion is refundable if this Lease is not extended beyond December 31, 2031, as the Side Agreement provides. The parties understand "extended" to mean Tenant's exercise of the extension option in Article 3.06.

**16. Default Damages (modifies Section 2/3 Article 9.04).** In calculating damages, Base Rent Tier Two for future periods is deemed to equal the average annual Tier Two paid for the thirty-six (36) months before the default (or the actual period, if shorter), but not less than the minimum.

**17. Lender, Notary, and Recording (modifies Section 2/3 Articles 10.01 and 18.09).** As a condition of subordinating this Lease to any future mortgage, the lender must sign a commercially reasonable non-disturbance agreement recognizing this Lease, including the rent structure and the Option to Purchase, so long as no Event of Default exists. Because the Term exceeds two (2) years, the parties will sign this Lease before a notary. Notwithstanding Article 18.09, either party may record a memorandum of this Lease and of the Option to Purchase (omitting economic terms) at its own cost.

## EXHIBIT I: OPTION TO PURCHASE

**I.1 The Option.** Landlord grants Tenant the option to buy the property — the land, the Building, and Landlord's fixtures and improvements — during the Term, including any extension (the "Option").

**I.2 Price and Terms.** [Purchase price and purchase terms to be agreed by the parties before signing.]

**I.3 Protecting the Option.** The Option binds Landlord's successors and any buyer of the property. Any right of first refusal Landlord grants to the owner of the Yellow House (Exhibit J) must exclude a sale to Tenant under this Option.

## EXHIBIT J: SHARED SEPTIC, ALLEY, AND YELLOW HOUSE

*To be completed before signing. The principles below apply; bracketed items need the parties' details.*

**J.1 Shared Septic.** The Premises share a septic system with the neighboring Yellow House property [describe location and any recorded easement or septic agreement]. Tenant may use the system as needed for the Permitted Use, within its permitted capacity. Routine pumping and maintenance costs are shared [___% Premises / ___% Yellow House], and Tenant pays the Premises' share as a Tier One cost. Repair and replacement of the system are Landlord's responsibility [, shared with the Yellow House owner as their agreement provides].

**J.2 Mutual Right of First Refusal.** Because of the shared septic system, Landlord intends to enter into a mutual right of first refusal with the owner of the Yellow House. That agreement is between the property owners and is not part of this Lease, and it must exclude a sale to Tenant under Exhibit I.

**J.3 Alley Access.** Tenant and its employees, guests, and suppliers may use the alley [describe] for access, deliveries, and parking as it has historically been used. [Describe any easement and who maintains the alley.]

**J.4 Yellow House.** [Describe any agreed operating standards for the benefit of the Yellow House residence — for example, quiet hours, limits on outdoor events, and exterior lighting.] Landlord's arrangements with the Yellow House owner will not interfere with Tenant's quiet enjoyment of the Premises.

*End of Section 1/3 and Exhibits for The Burton Inn — Draft v0.13, November 11, 2026. To be read with the attached Sections 2/3 and 3/3 of the Two-Tier Value-Sharing Lease© (Version 2.1, September 19, 2026).*